3.7.1 Mission, objectives and strategy

- **Mission:** overall purpose and values; influences include founders, culture, stakeholders and the market
- **Corporate objectives:** targets for the whole business
- **Strategy:** the long-term plan to achieve the objectives
- **Tactics:** short-term actions that carry out the strategy
- **Strategic decisions:** long term, high risk, hard to reverse, made by senior managers
- **Functional decisions:** made within a department to support the strategy
- Mission → objectives → strategy → tactics

3.7.1 Influences on objectives and SWOT

- **Internal influences:** resources, culture, ownership, managers' attitudes
- **External influences:** economy, competition, technology, legislation
- **Short-termism:** focusing on short-term results at the expense of long-term success, e.g. under shareholder pressure
- **SWOT:** strengths and weaknesses (internal); opportunities and threats (external)
- **Value of SWOT:** brings internal and external factors together to help choose a strategy
- **Limitations of SWOT:** a snapshot; subjective; does not make the decision
- **Trap:** a problem inside the business is a weakness, not a threat

3.7.2 Financial statements

- **Statement of financial position (balance sheet):** assets, liabilities and equity at a point in time
- **Non-current assets:** kept for more than a year, e.g. buildings and machinery
- **Current assets:** inventories, receivables, cash
- **Current liabilities:** debts due within a year, e.g. payables, overdraft
- **Non-current liabilities:** long-term debts, e.g. loans
- **Total equity:** share capital + retained earnings
- **Income statement:** revenue, costs and profit over a period
- **Capital employed:** total equity + non-current liabilities

3.7.2 Profitability, liquidity and gearing

- **Return on capital employed (ROCE):** operating profit ÷ capital employed × 100
- **Current ratio:** current assets ÷ current liabilities
- **Gearing:** non-current liabilities ÷ capital employed × 100
- **High gearing:** over 50% is usually seen as high; more interest to pay and more risk if rates rise
- **Low current ratio:** may struggle to pay short-term debts
- **Trap:** gearing is about long-term borrowing; liquidity is about short-term debts
- **Trap:** use current assets, not net current assets, in the current ratio

3.7.2 Efficiency ratios and the value of ratios

- **Payables days:** payables ÷ cost of sales × 365
- **Receivables days:** receivables ÷ revenue × 365
- **Inventory turnover:** cost of sales ÷ average inventories held
- **Comparing ratios:** over time and with other businesses in the same industry
- **Limitations of ratios:** historical, a snapshot, ignore qualitative factors, can be window-dressed
- **Trap:** receivables use revenue; payables and inventory use cost of sales

3.7.3 Overall performance

- **Assessing performance:** using financial, operations, HR and marketing data together
- **Core competences:** what a business does especially well that rivals find hard to copy
- **Short-term performance:** e.g. this year's profit
- **Long-term performance:** e.g. brand strength, innovation, staff development
- **Trap:** short-term success can hide long-term problems
- **Non-financial data:** e.g. customer satisfaction, labour turnover, quality

3.7.3 Elkington's Triple Bottom Line

- **Elkington's Triple Bottom Line:** measures performance on profit, people and planet
- **Profit:** financial performance
- **People:** effect on employees, customers and communities
- **Planet:** environmental impact
- **Value:** a broader view of success than profit alone
- **Limitations:** people and planet are hard to measure; can conflict with profit
- **Trap:** it is not three measures of profit

3.7.4 Political change

- **Enterprise:** government support for new and small businesses, e.g. grants, advice
- **Role of regulators:** oversee industries such as energy and water to protect customers
- **Infrastructure:** transport, energy and communications provided or supported by government
- **The environment:** government policy to protect it, e.g. targets, taxes, subsidies
- **International trade:** government policy on trade with other countries
- **Effect on business:** can create costs or opportunities depending on the business

3.7.4 Legal change

- **Laws named by AQA:** competition law, labour market law, environmental law
- **Competition law:** stops anti-competitive behaviour such as price fixing
- **Labour market law:** e.g. minimum wage, working hours, discrimination, health and safety
- **Environmental law:** e.g. limits on emissions and waste
- **Effect:** compliance costs, but can create a level playing field
- **Trap:** legislation is compulsory; ethical choices are voluntary

3.7.5 GDP, inflation and exchange rates

- **GDP:** total value of goods and services produced in an economy
- **Economic growth:** rising GDP; usually means rising incomes and demand
- **Recession:** GDP falls for two quarters in a row
- **Inflation:** general rise in prices
- **Effect of inflation:** rising costs; real incomes fall if wages do not keep up
- **Strong pound:** imports cheaper, exports dearer
- **Weak pound:** exports cheaper, imports dearer
- **Trap:** falling inflation means prices rise more slowly, not that they fall

3.7.5 Fiscal policy, monetary policy and trade

- **Fiscal policy:** government spending and taxation
- **Monetary policy:** interest rates, set by the Bank of England
- **Higher interest rates:** borrowing costs rise and consumer spending falls
- **Taxation:** e.g. corporation tax on profits, VAT on sales
- **Open trade:** few barriers between countries
- **Protectionism:** barriers such as tariffs and quotas to protect domestic firms
- **Trap:** fiscal policy is not monetary policy and is not legislation

3.7.6 Demographic and social change

- **Demographic change:** changes in the size and structure of the population, e.g. ageing
- **Migration:** people moving into or out of a country; affects labour supply and demand
- **Changes in lifestyle:** e.g. health, convenience, environmental concern
- **Changes in buying behaviour:** e.g. comparing prices online, buying more online
- **Growth of online businesses:** lower costs, wider reach, pressure on high street shops
- **Effect on business:** new opportunities for some, threats for others

3.7.6 Corporate social responsibility

- **Corporate social responsibility (CSR):** acting in the interests of society, not just owners
- **Reasons for CSR:** reputation, attracting staff and customers, pressure groups, long-term success
- **Reasons against CSR:** cost, may reduce short-term profit, conflict with shareholders
- **Stakeholder concept:** business should consider all stakeholders
- **Shareholder concept:** business should focus on returns to shareholders
- **Carroll's CSR pyramid:** economic, legal, ethical, philanthropic responsibilities
- **Philanthropic responsibilities:** voluntary, e.g. charity donations
- **Pressures for socially responsible behaviour:** customers, pressure groups, media, staff

3.7.6 Technological change

- **Technological change:** new products, processes and ways of working
- **Effect on marketing:** online sales, digital promotion, data on customers
- **Effect on operations:** automation, quality, lower unit costs
- **Effect on HR:** new skills needed, training, possible job losses
- **Effect on finance:** investment needed; can lower costs over time
- **Effect on strategy:** can create new markets or make existing products obsolete

3.7.7 Porter's five forces

- **The five forces:** barriers to entry (threat of new entrants), buyer power, supplier power, rivalry, threat of substitutes
- **High barriers to entry:** protect profits, e.g. high start-up costs, patents, brands
- **Buyer power is high:** when buyers are few and can switch easily
- **Supplier power is high:** when suppliers are few and switching is costly
- **Substitutes:** products that do the same job in a different way
- **Rivalry:** intense when there are many similar competitors
- **Implications:** strong forces mean low industry profits; strategy aims to weaken them
- **How forces change:** e.g. new technology lowers barriers to entry

3.7.8 Payback and average rate of return

- **Payback:** time taken for net cash inflows to repay the initial cost
- **Payback in the middle of a year:** amount still needed ÷ that year's net inflow
- **Average rate of return (ARR):** average annual profit ÷ initial cost × 100
- **Average annual profit:** (total net inflows − initial cost) ÷ number of years
- **Trap:** subtract the initial cost before working out ARR
- **Payback strengths:** simple, focuses on cash and risk
- **Payback weakness:** ignores cash after payback and profitability

3.7.8 Net present value

- **Net present value (NPV):** present value of inflows − initial cost
- **Discount factor:** converts future cash into today's value
- **Why discount:** money received in the future is worth less than money now
- **Positive NPV:** project worth doing at that discount rate
- **NPV strength:** considers the timing of cash flows
- **NPV weakness:** depends on the discount rate chosen and on forecasts
- **Investment criteria:** targets a project must meet, e.g. payback within 3 years

3.7.8 Risk and non-financial factors

- **Risk:** the chance that forecast returns are not achieved
- **Uncertainty:** future cash flows cannot be known for sure
- **Sensitivity:** small changes in forecasts can change the decision
- **Non-financial factors:** staff morale, brand image, ethics, environmental impact, fit with strategy
- **Trap:** a positive NPV does not guarantee a profit
- Investment appraisal supports a decision but does not make it